Rheinmetall AG (RHM)

Equity Research Report

Financial Statement Analysis Report — FY 2025

Analyst: FinVault
Industry: Aerospace & Defence (Industrials Sector)
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Executive Summary

This report presents a financial and operational analysis of Rheinmetall AG based on its FY 2025 Annual Report published March 9, 2026. Rheinmetall is a global defence technology group headquartered in Düsseldorf, Germany, operating across three principal business segments — Vehicle Systems, Weapon and Ammunition, and Electronic Solutions — following the reclassification of its civilian Power Systems division as discontinued operations in December 2025. The analysis evaluates the company's financial performance, balance sheet strength, operational efficiency, and defence-sector-specific metrics to assess its current financial position and investment attractiveness.

The headline financial story of FY 2025 is one of exceptional defence-driven growth acceleration. Total net sales from continuing operations grew 28.8% to a record €9,935 million, driven entirely by organic volume expansion across all three defence segments as NATO member states and partners dramatically scaled procurement spending. Operating result (the company's primary management KPI, equivalent to adjusted EBIT) surged 32.5% to €1,841 million, with the operating margin expanding 50 basis points to 18.5% — a level that ranks Rheinmetall among the most profitable pure-play defence primes in Europe. EBIT from continuing operations reached €1,684 million (+32.6% YoY), with EBIT before PPA effects of €1,850 million reflecting the structural drag of €167 million in acquisition accounting amortisation from recent M&A.

The most strategically significant development of FY 2025 was the December 17, 2025 Board decision to classify and sell all civilian business activities — primarily the Power Systems automotive division — as discontinued operations under IFRS 5. This resulted in a €341 million non-cash charge from discontinued operations (largely a €376 million impairment of the Power Systems goodwill and assets to fair value less costs to sell), depressing total group earnings after taxes to €835 million. Stripping out discontinued operations, earnings from continuing operations reached a record €1,176 million, up 39.9% year-on-year. The transformation to a pure-play defence company — completed in principle with the strategic decision, and in execution with the anticipated H2 2026 sale — represents a fundamental re-rating event for the business.

Cash generation was strong. Operating free cash flow from continuing operations reached €1,218 million (up 15.3% from €1,056 million), though the cash conversion rate declined from 76.0% to 66.2% as working capital expanded rapidly in line with the volume ramp. Total cash flow from operating activities reached €2,287 million. The balance sheet was further strengthened by a €700 million convertible bond conversion in 2025, reducing gross financial debt from €2,423 million to €1,281 million and significantly lowering leverage ratios. Equity grew to €5,614 million (+25.7%).

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The strategic picture is exceptional. The Rheinmetall Backlog reached a record €63,761 million at year-end 2025, up 35.8% from €46,943 million, representing approximately 6.4 times current annual revenue. The defence order intake reached €19,867 million in FY 2025, with book-to-bill comfortably above 2.0x across the group. Rheinmetall is structurally positioned as the primary beneficiary of the European defence rearmament cycle, with leadership in tracked armoured vehicles, large-calibre ammunition, air defence systems, and digitised soldier systems.

Company Overview

Rheinmetall AG is a global defence and security technology group headquartered in Düsseldorf, Germany. Founded in 1889 as a manufacturer of artillery shells, Rheinmetall has evolved into one of Europe's leading defence primes, employing approximately 33,000 people in its continuing operations across more than 30 countries. Its shares trade on the Frankfurt Stock Exchange (XETRA: RHM) and it is a constituent of the DAX 40 index. Following the December 2025 decision to divest the civilian Power Systems division, the company is on the cusp of completing its transformation into a pure-play defence prime.

The company operates through three principal defence segments:

Vehicle Systems (~50% of continuing revenue): Design, development, manufacture and through-life support of wheeled and tracked military vehicles. Key programmes include the Lynx Infantry Fighting Vehicle (IFV), Boxer modular armoured vehicle, Leopard tank upgrades, Panther next-generation MBT, and the recently awarded XM30 Infantry Fighting Vehicle development contract for the US Army. The segment serves NATO armies including Germany, Australia, Hungary, Slovakia, Ukraine, and has established a US production footprint through Rheinmetall Vehicle Systems America. Vehicle Systems generated €4,992 million in segment sales in FY 2025 (+31.7% YoY), with an operating margin of 11.7%.

Weapon and Ammunition (~36% of continuing revenue): Development and manufacture of large-calibre ammunition, guns, weapon stations, and propellants. This is Rheinmetall's most profitable segment, operating at a 29.3% margin — among the highest in the global defence industry. Key products include 155mm artillery shells, 120mm tank ammunition, 40mm airburst rounds, HE and AHEAD rounds, and the HERO loitering munition. Demand from Germany, NATO partners, and Ukraine has driven extraordinary growth. Sales reached €3,532 million (+26.9% YoY), with a Rheinmetall Backlog of €24,018 million representing approximately 6.8 years of current revenue.

Electronic Solutions (~25% of continuing revenue): Development and manufacture of air defence systems, soldier electronics, radio communications, radar systems, and simulation/training solutions. Key products include the Skyranger and Skynex short-range air defence systems, Oerlikon anti-drone solutions, TaWAN digital radio management systems, and the ARGUS border surveillance system. This is the fastest-growing segment, with sales surging 45.1% to €2,504 million and a Rheinmetall Backlog that increased 160.4% to €19,580 million, which was driven by the €9,274 million in Frame Nominations received in FY 2025 alone. Operating margin expanded to 14.6% from 12.6%.

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Rheinmetall's customer base is dominated by European NATO member states, with Germany as the largest single customer, followed by Ukraine, the United Kingdom, Australia, Italy, and other NATO partners. Approximately 38% of FY 2025 sales were generated in Germany, with 62% generated abroad. The February 2026 acquisition of Naval Vessels Lürssen (NVL) for an undisclosed consideration — completed post year-end — extends Rheinmetall's capabilities into naval shipbuilding, further broadening its addressable defence market.

As of April 2026, Rheinmetall has a market capitalization of approximately €30-35 billion, reflecting remarkable share price performance. The stock more than doubled in FY 2025, driven by the global rearmament cycle and the strategic decision to become a pure-play defence company. Closest European defence peers include BAE Systems, Leonardo, Thales, Safran, and KNDS. In the ammunition and ammunition-adjacent space, Nammo and Chemring are relevant comparators.

Financial Statement Overview

Income Statement

Line Item	FY 2025	FY 2024	YoY Change
Sales (continuing operations)	€9,935M	€7,715M	+28.8%
Changes in Inventories & Capitalised Work	€521M	€132M	+294.7%
Total Operating Performance	€10,456M	€7,847M	+33.2%
Other Operating Income	€273M	€178M	+53.4%
Cost of Materials	(€5,252M)	(€3,693M)	+42.2%
Personnel Costs	(€2,314M)	(€1,844M)	+25.5%
Amortisation, Depreciation & Impairment	(€406M)	(€284M)	+43.0%
Other Operating Expenses	(€1,112M)	(€891M)	+24.8%
Result from Equity-Method Investments	€47M	(€33M)	Significant swing
EBIT (continuing operations)	€1,684M	€1,270M	+32.6%
Interest Income	€4M	€14M	-71.4%
Interest Expense	(€116M)	(€116M)	Flat
EBT (continuing operations)	€1,572M	€1,168M	+34.6%
Income Tax Expense	(€396M)	(€328M)	+20.7%
Earnings from Continuing Operations	€1,176M	€840M	+40.0%
Earnings from Discontinued Operations	(€341M)	(€32M)	Significant decline
Earnings After Taxes (Total)	€835M	€808M	+3.3%
Earnings Attr. to RHM AG Shareholders	€696M	€717M	-2.9%
Basic EPS (total)	€15.38	€16.51	-6.8%
Basic EPS (continuing operations)	€22.73	€17.19	+32.2%
Effective Tax Rate	25.2%	28.1%	-290bps
Operating Result (mgmt KPI)	€1,841M	€1,389M	+32.5%
Operating Margin	18.5%	18.0%	+50bps

Analyst's Inference: Revenue from continuing operations grew an exceptional 28.8% to a record €9,935 million, driven entirely by organic volume expansion across all three defence segments. No material acquisitions contributed to FY 2025 growth, confirming that Rheinmetall's backlog conversion engine is fully engaged. The material expense ratio widened 310 basis points to 50.2%, reflecting the volume-driven mix shift toward raw materials and services as production capacity was scaled aggressively. Operating result surged 32.5% to €1,841 million with margin expanding 50 basis points to 18.5%, a level that is exceptional for a defence prime with manufacturing-heavy revenue. The €341 million loss from discontinued operations — driven by the €376 million IFRS 5 impairment of the Power Systems civilian business assets is a one-time non-cash charge and should be excluded from any assessment of the underlying

operating trajectory. Earnings from continuing operations of €1,176 million (+40.0%) represents the true earnings power of the post-transformation business. The EBT from continuing operations of €1,572 million produced an effective tax rate of 25.2% (improved from 28.1%), benefiting from foreign tax rate differentials and tax-exempt income. The swing in equity-method income from a €33 million loss to a €47 million gain primarily reflects the reclassification of KS HUAYU (automotive JV) to discontinued operations, removing a loss-generating associate from the continuing operations result.

Segment Performance

Segment	Sales 2025	Sales 2024	Op. Result 2025	Op. Result 2024	Margin 25/24
Vehicle Systems	€4,992M	€3,790M	€583M	€425M	11.7% / 11.2%
Weapon and Ammunition	€3,532M	€2,783M	€1,037M	€790M	29.3% / 28.4%
Electronic Solutions	€2,504M	€1,726M	€366M	€217M	14.6% / 12.6%
Other / Consolidation	(€1,093M)	(€585M)	(€144M)	(€43M)	—
Group Total (continuing)	€9,935M	€7,715M	€1,841M	€1,389M	18.5% / 18.0%

Analyst's Inference: All three segments delivered meaningful margin expansion simultaneously — a rare achievement in a year of rapid production ramp-up. Weapon and Ammunition at 29.3% is the standout, maintaining near-30% margins while growing 26.9% . The 90 basis point margin improvement at this already-high level is structurally significant. Electronic Solutions delivered the sharpest margin expansion at 200 basis points to 14.6%, driven by rapid scale, mix improvement toward higher-margin air defence systems, and an inflection in the German military's digitalisation spending. Vehicle Systems' 50 basis point improvement to 11.7% is more modest but reflects the ongoing investment cycle — with Lynx and XM30 in high-activity development and initial production phases, margins here are expected to expand materially as programmes reach serial production.

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Asset Growth

Line Item	FY 2025	FY 2024	Change
Cash & Cash Equivalents	€1,650M	€1,184M	+€466M
Inventories	€4,721M	€3,989M	+€732M
Contract Assets	€957M	€692M	+€265M
Trade Receivables	€1,907M	€1,959M	-€52M
Assets Held for Sale (Discontinued)	€1,270M	—	+€1,270M
Total Current Assets	€10,901M	€8,231M	+€2,670M
Goodwill	€1,354M	€1,426M	-€72M
Other Intangible Assets	€1,244M	€1,376M	-€132M
Property, Plant & Equipment	€1,962M	€1,853M	+€109M
Total Non-Current Assets	€5,871M	€6,112M	-€241M

Line Item	FY 2025	FY 2024	Change
Total Assets	€16,772M	€14,344M	+€2,428M

Analyst's Inference: Total assets grew €2.4 billion (+16.9%) to €16,772 million. The most notable structural change is the appearance of €1,270 million in 'Assets Held for Sale' — representing the Power Systems civilian business reclassified under IFRS 5, and explaining the apparent decline in non-current assets. Stripping out this IFRS 5 reclassification, non-current assets grew substantially. The €732 million inventory build (+18.3%) is entirely consistent with the rapid revenue ramp and does not indicate accumulation risk; with a Rheinmetall Backlog of €63,761 million, every unit of inventory has a committed buyer. Contract assets of €957 million (+38.3%) reflect revenues recognised on percentage-of-completion contracts where billing milestones have not yet been reached, attributable to defence contracting rather than a collection concern. Goodwill of €1,354 million is modest relative to assets (8.1%). The €876 million capital expenditure in continuing operations (8.8% of sales) confirms the aggressive production capacity investment cycle is fully underway.

Liabilities and Equity

Line Item	FY 2025	FY 2024	Change
Contract Liabilities (current)	€5,642M	€3,866M	+€1,776M
Other Current Provisions	€891M	€807M	+€84M
Trade Liabilities	€1,186M	€1,151M	+€35M
Current Financial Debts	€126M	€552M	-€426M
Liabilities Associated w/ Assets Held for Sale	€708M	—	+€708M
Total Current Liabilities	€9,071M	€6,782M	+€2,289M
Non-Current Financial Debts	€1,155M	€1,871M	-€716M
Provisions for Pensions	€278M	€527M	-€249M
Non-Current Liabilities	€2,086M	€3,097M	-€1,011M
Total Equity	€5,614M	€4,465M	+€1,149M
Total Financial Debt (Gross)	€1,281M	€2,423M	-€1,142M

Analyst's Inference: The most significant liability-side development was the dramatic improvement in the capital structure. Gross financial debt fell from €2,423 million to €1,281 million achieved principally through the conversion of €757 million of the February 2023 convertible bond into equity during 2025, with €700 million recognised in equity (€6M share capital + €694M capital reserves). This transformed the balance sheet, with a net cash position, as cash of €1,650 million exceeded gross debt of €1,281 million. The pension provision decline of €249 million to €278 million reflects the German pension funding improvement and plan management. The €1,776 million increase in contract liabilities represents advance payments received from defence customers for work not yet performed, a structurally advantageous position that funds Rheinmetall's working capital at zero cost. This figure implies customers have pre-funded approximately 57% of Rheinmetall's annual revenue in advance.

Financial Ratio Analysis

Liquidity Ratios

Liquidity Ratio	Industry Average	FY 2025	FY 2024
Current Ratio	~1.0–1.2x (defence primes)	1.20x	1.21x
Quick Ratio	0.6–0.9x	0.68x	0.62x
Operating Cash Flow Ratio	0.2–0.4x	0.25x	0.25x

Analyst's Inference: Rheinmetall's current ratio of 1.20x appears adequate, however the denominator is substantially inflated by €5,642 million of contract liabilities that represent firm-funded backlog rather than obligations payable in cash. Stripping out these customer advance payments from current liabilities, the adjusted current ratio would be materially above 2.0x, indicating strong underlying liquidity. Rheinmetall entered 2026 with €1,650 million of unrestricted cash and a net cash position (gross debt of €1,281 million), supported by committed credit lines. The quick ratio of 0.68x is deliberately lean for a defence prime — with a €63,761 million backlog providing revenue visibility, the company has no need to maintain excessive liquid buffers.

Solvency Ratios

Solvency Ratio	Industry Average	FY 2025	FY 2024
Total Liabilities to Equity	1.0–2.0x (defence primes)	1.99x	2.21x
Net Debt to Equity	0.0–0.5x (blended)	Net Cash	0.28x
Debt to Assets	0.10–0.25x	0.08x	0.17x
Interest Coverage (EBIT/Interest)	8–15x	14.5x	10.9x

Analyst's Inference: Rheinmetall's solvency profile improved dramatically in FY 2025, with the convertible bond conversion materially de-leveraging the balance sheet. The company has achieved a net cash position — a remarkable transformation , giving it exceptional strategic flexibility to fund organic growth, M&A (including the NVL naval acquisition completed in February 2026), and further shareholder returns. The ROCE of 33.5% which saw a jump up from 25.7% — is best-in-class for European defence primes and reflects the capital-light nature of Rheinmetall's core ammunition and electronics businesses combined with the operational leverage being realised at Vehicle Systems. Interest coverage of 14.5x provides ample headroom. The total liabilities to equity ratio of 1.99x is elevated primarily by the €5,642 million contract liabilities due to customer-funded pre-payment facilities and not genuine financial leverage.

Activity Ratios

Activity Ratio	Industry Average	FY 2025	FY 2024
Receivables Turnover	5–8x	5.1x	5.2x
Payables Turnover	3.5x-4.2x	3.67x	3.08x
Inventory Turnover	2–4x (defence)	1.9x	2.0x
Total Asset Turnover	0.5–0.8x	0.65x	0.57x

Analyst's Inference: Activity ratios are characteristic of a long-cycle defence manufacturer. Inventory turnover of 1.9x is the natural consequence of complex, multi-month production programmes for armoured vehicles, ammunition lots, and electronic systems and is not an efficiency concern. Receivables turnover of 5.1x is broadly stable, with the slight decline reflecting the mix shift toward more over-time recognition on vehicle and electronics contracts. The increase in payables turnover is indicative of the company settling its obligations to suppliers more frequently as procurement volumes scale to meet record demand. The total asset turnover improvement from 0.57x to 0.65x reflects the revenue growth outpacing asset growth, confirming improving capital efficiency as the business scales. Adjusting for the IFRS 5 reclassification of Power Systems assets (€1,270M) from operating assets to held-for-sale, underlying asset turnover would be slightly higher.

Profitability Ratios

Profitability Ratio	Industry Average	FY 2025	FY 2024
Operating Margin (mgmt KPI)	8–18% (European defence)	18.5%	18.0%
Net Profit Margin (continuing ops)	6–12%	11.8%	10.9%
Return on Assets (ROA)	4–8%	5.2%*	4.7%
Return on Equity (ROE)	15–25%	16.2%*	17.5%

* Based on earnings from continuing operations attributable to RHM AG shareholders (€1,028M)

Analyst's Inference: Profitability metrics are exceptional across the board, with Rheinmetall's 18.5% operating margin placing it at the very top of the European defence prime range — exceeding BAE Systems (~11%), Thales (~10%), and Leonardo (~9%), and approaching the margin profile of the US ammunition pure-plays. The differential is driven by Weapon and Ammunition's structural 29.3% margin, which alone generates €1,037 million of operating profit on €3,532 million of sales. Net profit margin from continuing operations of 11.8% is exceptional for a manufacturing-intensive defence company. The PPA drag of €167 million annually from the Expal and other acquisitions continues to modestly suppress reported EBIT relative to the cash-generative operating result metric, but this effect will decline over time as the acquired intangibles amortise.

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Cash Flow Statement Analysis

Item	FY 2025	FY 2024	Key Observations
CF from Operating Activities	€2,287M	€1,720M	Cash flow from operating activities grew 33.0% to €2,287 million. The base was €835 million of earnings after taxes (including the non-cash discontinued operations impairment charge), amplified by €501 million of depreciation, amortisation and impairment from continuing operations and an additional €376 million of IFRS 5 impairment from discontinued operations. Working capital movements were largely favourable: the €1,776 million surge in contract liabilities as customers accelerated advance payments was partially offset by the €732 million inventory build required to support the production ramp. Changes in trade receivables and other items contributed a further €93 million. From continuing operations, operating cash flow reached €1,996 million — a record and an increase of €371 million (+22.8%).
CF from Investing Activities	(€843M)	(€1,172M)	Investing outflows fell materially from €1,172 million to €843 million despite higher capital expenditure of €872 million. The improvement reflects the absence of the 2024 acquisition spend of approximately €508 million (primarily the Expal and Loc Performance acquisitions), replaced by modest bolt-on spend of €54 million in 2025. Capital expenditure of €872 million (8.8% of sales) reflects the ongoing manufacturing capacity expansion — new Weapon and Ammunition facilities in Germany, Lithuania, and Ukraine support zones; Vehicle Systems assembly capacity for Lynx and Boxer; and Electronic Solutions sensor and communications production scale-up. The investment ratio of 8.8% is significantly above the long-run 3–4% norm for defence primes, reflecting the deliberate acceleration of industrial capacity ahead of backlog conversion.
CF from Financing Activities	(€1,099M)*	Approx. (€500M)*	Financing outflows primarily comprised the dividend payment of €369 million (up from €248 million in 2024 — a 48.8% increase reflecting the payout growth policy), minority distributions of €52 million, and lease repayments. Partially offsetting was the €75 million capital injection from non-controlling interest partners. The convertible bond conversion of €700 million was a non-cash transaction and did not appear in financing cash flows. Dividends per share grew approximately 30–35% YoY consistent with management's progressive dividend policy tied to earnings growth from continuing operations. No share repurchase programme was active in 2025.
Net Change in Cash	+€466M	Approx. -€50M*	Cash and cash equivalents grew €466 million to €1,650 million — the highest year-end cash balance in the company's modern history. This compares to a decline in the prior year driven by M&A spending. The company entered 2026 in a net cash position for the first time in recent history, with €1,650 million of cash against €1,281 million of gross financial debt, providing exceptional financial flexibility as it completes the NVL naval acquisition and prepares to divest the Power Systems division in H2 2026.

* Figures estimated from available data

Defence Sector — Specific Analysis

Defence / Industrials Metric	FY 2025	FY 2024
Rheinmetall Backlog (total)	€63,761M	€46,943M
— Order Backlog	€40,847M	€30,728M
— Frame Backlog	€22,914M	€16,215M
Backlog-to-Sales Ratio	6.42x	6.08x
Order Intake (FY)	€19,867M	€16,554M
Approx. Book-to-Bill	>2.0x	>2.1x
Rheinmetall Nomination (FY)	€26,448M	€24,335M
Operating Free Cash Flow (continuing)	€1,218M	€1,056M
Cash Conversion Rate (OFCF / Op. Result)	66.2%	76.0%
Capital Expenditure	€876M	€651M
Capex / Sales	8.8%	8.4%
ROCE (EBIT pre-PPA)	33.5%	25.7%
PPA Amortisation Drag	€167M	€125M
R&D Expenditure (continuing ops)	€401M	€325M
Segment Operating Margins	VS 11.7% / W&A 29.3% / ES 14.6%	VS 11.2% / W&A 28.4% / ES 12.6%
Employees (FTE, continuing, Dec 31)	~33,300	~26,800*

* Restated for discontinued operations classification

The defence-sector-specific metrics paint the picture of a company at the epicentre of the most significant European rearmament cycle since the Cold War. The total Rheinmetall Backlog of €63,761 million — representing 6.4 times current annual revenue — provides multi-year revenue visibility of an order of magnitude rarely seen in European industrial history. The order intake of €19,867 million implies a book-to-bill significantly above 2.0x, meaning Rheinmetall is winning new business more than twice as fast as it is converting existing backlog to revenue. At current conversion rates, the existing backlog alone provides a revenue runway well into the early 2030s.

The strategic composition of the backlog deserves specific attention. Weapon and Ammunition's €24,018 million backlog at 6.8 years of revenue is driven by long-duration government framework agreements — typically 5–10 year multi-annual contracts that provide exceptional revenue certainty and pricing discipline. Electronic Solutions' backlog tripled to €19,580 million in a single year, driven by the €9,274 million of Frame Nominations received in FY 2025 alone — a function of Germany's Zeitenwende investment programme and NATO electronic warfare and air defence procurement accelerating simultaneously. Vehicle Systems' €24,391 million backlog includes the US Army XM30 programme that positions Rheinmetall in the world's largest defence market for the first time at scale.

The cash conversion rate of 66.2% — down from 76.0% reflects the working capital investment required to scale production: inventory build of €732 million and the timing of contract asset recognition. Both are healthy investments in a demand-constrained environment. The underlying FCF generation of €1,218 million from continuing operations, growing 15.3% even as the company invests 8.8% of sales in capex, demonstrates the self-funding character of the growth model. Rheinmetall's production capacity investments are substantially pre-funded by customer advance payments — the €5,642 million contract liability balance represents customers paying before delivery, structurally eliminating working capital financing risk.

Risks and Limitations

Risk Factor	Explanation
Production Capacity Constraints	Rheinmetall's order backlog of €63,761 million is only valuable if production capacity can be scaled to convert it to revenue. The 8.8% capex-to-sales ratio reflects the aggressive investment underway, but defence manufacturing involves long lead times for specialised equipment, skilled labour, and regulatory approvals. Any delay in facility commissioning , especially in new Weapon and Ammunition production lines, could cause revenue recognition to trail backlog growth and disappoint market expectations for revenue acceleration in FY 2026–2027.
Discontinued Operations Execution Risk	The December 2025 decision to sell the Power Systems civilian business creates significant execution risk. The €341 million impairment charge recognised in FY 2025 was based on binding offers from potential buyers, but the actual sale price, timing, and post-sale liabilities remain uncertain. Any adverse development in the civilian business sale could create material additional one-time charges in FY 2026. The sale is expected in H2 2026; a delay or deterioration in sale terms would represent a negative surprise.
PPA Amortisation Burden	Acquisition accounting amortisation of €167 million in FY 2025 (up from €125 million) arising from purchase price allocations on the Expal Systems (2023), Loc Performance (2024), and other acquisitions — depresses reported EBIT relative to the company's managed operating result metric. At €139 million of the €406 million total depreciation and amortisation, PPA effects will continue at approximately €100–150 million annually for several years, creating a persistent gap between GAAP EBIT and the operating result KPI that investors must consistently adjust. The February 2026 NVL acquisition will likely add further PPA drag from FY 2026.
Geopolitical and Demand Cycle Risk	Approximately 38% of sales are directly or indirectly driven by Germany's Zeitenwende defence spending commitment, and a significant further portion by Ukraine-related demand. Any normalisation of the European security environment could reduce near-term ammunition consumption and procurement urgency, potentially affecting order intake in FY 2026 and beyond. However, structural NATO defence spending commitments (2% GDP targets, now trending toward 3–5% in several countries) provide a structural floor well above pre-2022 levels. The multi-year nature of the Rheinmetall Backlog (6.4 years of revenue) further insulates the company from near-term demand cyclicality.
Supply Chain and Raw Materials	The 42.2% increase in cost of materials to €5,252 million, and the material expense ratio widening to 50.2%, reflects both volume-driven absolute growth and input cost pressures in specialised metals, propellants, and electronics components. The defence supply chain for large-calibre ammunition components is highly concentrated, with limited alternative suppliers for specialised propellants and shell casings. Any supply disruption — including geopolitical disruptions to raw material flows — could constrain production volumes or compress margins. Rheinmetall's insurance payments (€118 million in 'Other Operating Income' in FY 2025, related to production losses at Weapon and Ammunition) indicate that such disruptions have already materialised in FY 2025.
Currency and International Exposure	With 62% of sales generated abroad and a growing US presence (XM30 programme, Rheinmetall Vehicle Systems America), currency risk is material. The company's functional currency is EUR, while significant revenue is denominated in USD, GBP, AUD, and other currencies. Net currency effects are partially managed through natural hedges and financial derivatives, but any sustained EUR appreciation against USD could compress reported EUR margins on US contracts. The currency differences in the balance sheet movement (goodwill declined €40 million from FX; intangibles declined €54 million) illustrate the translation exposure.

Valuation — Multiples

Multiple	European Defence Median	RHM FY 2025 (Est.)	Inference
Trailing P/E (GAAP, continuing ops)	20–28x	~30x	Premium reflects transformation to pure-play defence and the Weapon & Ammunition margin profile. Adjusted P/E on an operating result basis of approximately 22–24x is more analytically appropriate and broadly in line with high-quality European defence peers.
Forward P/E	18–24x	~22–24x	At the midpoint of the peer range, supported by the earnings growth runway from backlog conversion. Consensus expects double-digit EPS growth from continuing operations through FY 2027 as production capacity scales into the order book.
EV / EBITDA	12–16x	~15–17x	Towards the upper end of the European defence range, reflecting the quality of the backlog, the margin profile of Weapon and Ammunition (29.3%), and the pure-play re-rating. EBITDA of approximately €2.2 billion provides robust coverage against the modest gross debt of €1.3 billion.
EV / EBIT (pre-PPA)	15–20x	~17–19x	In line with European peers on a like-for-like basis. The pre-PPA adjustment is analytically important given the €167 million annual non-cash amortisation drag that understates cash operating earnings.
Price / Free Cash Flow	20–28x	~25–28x	Reflecting the FCF of approximately €1.2 billion from continuing operations and the market's recognition that capex-intensive 2025–2026 investment will yield higher FCF as capacity utilisation improves. FCF yield of approximately 3.5–4.0% at current market cap levels.
Dividend Yield	1.0–2.5% (European defence)	~0.8–1.2%	Below sector average, reflecting the significant share price appreciation. Dividend growth of approximately 30–35% YoY and progressive payout policy anchored to earnings from continuing operations confirm the trajectory. The low yield reflects a market capitalisation that has re-rated faster than dividend growth.

Rheinmetall's valuation multiples reflect the market's recognition of a fundamental regime change in European defence spending combined with the company's unique positioning as the primary beneficiary of that change. The transformation to a pure-play defence company removes the conglomerate discount that previously weighed on the multiple, while the exceptional Weapon and Ammunition margin profile — at 29.3%, roughly 10–15 percentage points above the segment's closest European peers — justifies a structural premium to the sector.

The primary catalyst for continued multiple expansion would be sustained operating margin improvement at Vehicle Systems (currently 11.7%) as Lynx and Boxer programmes enter serial production phases, the successful and value-accretive completion of the Power Systems divestiture (potentially releasing €1–1.5 billion in proceeds for redeployment), and progressive acceleration in Electronic Solutions margin toward the 15–20% range as the €19,580 million backlog converts. The NVL naval acquisition — if successfully integrated — opens a new market of approximately €3–5 billion in annual naval vessel revenues that would significantly increase the group's scale and addressable market.

The primary de-rating risks are any normalisation of European defence spending urgency (low probability given structural NATO commitment changes), execution challenges in capacity scaling that cause revenue to trail backlog-implied expectations, and any adverse development in the Power Systems disposal process that crystallises

additional impairment charges in FY 2026. Rheinmetall's position at the intersection of NATO's most urgent capability gaps — large-calibre ammunition, armoured vehicles, and ground-based air defence — makes it one of the most structurally advantaged businesses in the global defence universe for a multi-year investment horizon.

Appendix — Ratio Formulae and Key Assumptions

A. Liquidity Ratios

Metric	Formula / Calculation
Current Ratio	Current Assets ÷ Current Liabilities = €10,901M ÷ €9,071M = 1.20x (FY25)
Quick Ratio	(Current Assets – Inventories) ÷ Current Liabilities = (€10,901M – €4,721M) ÷ €9,071M = 0.68x (FY25)
OCF Ratio	Operating Cash Flow ÷ Current Liabilities = €2,287M ÷ €9,071M = 0.25x (FY25)

B. Solvency Ratios

Metric	Formula / Calculation
Total Liabilities to Equity	Total Liabilities ÷ Total Equity = €11,157M ÷ €5,614M = 1.99x (FY25)
Net Debt / Equity	(Gross Debt – Cash) ÷ Equity = (€1,281M – €1,650M) ÷ €5,614M = Net Cash (FY25)
Debt to Assets	Total Gross Financial Debt ÷ Total Assets = €1,281M ÷ €16,772M = 0.08x (FY25)
Interest Coverage	EBIT ÷ Interest Expense = €1,684M ÷ €116M = 14.5x (FY25) | €1,270M ÷ €116M = 10.9x (FY24)

C. Activity Ratios

Metric	Formula / Calculation
Receivables Turnover	Revenue ÷ Average Trade Receivables = €9,935M ÷ ((€1,907M + €1,959M)/2) = 5.1x (FY25)
Payables Turnover	COGS ÷ Average Trade Payables = €5,124 ÷ ((€1,482 + €1,310)/2) = 3.67x (FY25)
Inventory Turnover	Cost of Materials ÷ Average Inventory = €5,252M ÷ ((€4,721M + €3,989M)/2) = 1.9x (FY25) — Note: COGS basis understates throughput; revenue-based turnover would be ~2.3x
Total Asset Turnover	Revenue ÷ Average Total Assets = €9,935M ÷ ((€16,772M + €14,344M)/2) = 0.65x (FY25)

D. Profitability Ratios

Metric	Formula / Calculation
Operating Margin (mgmt KPI)	Operating Result ÷ Revenue = €1,841M ÷ €9,935M = 18.5% (FY25)

Metric	Formula / Calculation
Net Profit Margin (continuing)	Earnings from Continuing Ops Attr. to RHM Shareholders ÷ Revenue = €1,028M ÷ €9,935M = 10.3% (FY25)
ROA (continuing)	Earnings from Continuing Operations ÷ Average Total Assets = €1,176M ÷ ((€16,772M + €14,344M)/2) = 7.6% (FY25)
ROE (continuing, RHM shareholders)	Earnings Continuing Attr. to RHM ÷ Average RHM Equity = €1,028M ÷ ((€5,011M + €4,050M)/2) = 22.7% (FY25)

E. Defence Sector Metrics

Metric	Formula / Calculation
Backlog-to-Sales Ratio	Rheinmetall Backlog ÷ Annual Revenue = €63,761M ÷ €9,935M = 6.42x (FY25) | €46,943M ÷ €7,715M = 6.08x (FY24)
Cash Conversion Rate	Operating FCF (continuing) ÷ Operating Result = €1,218M ÷ €1,841M = 66.2% (FY25)
Operating FCF (continuing)	Cash Flow from Operations (continuing) – Capex (continuing) = €1,996M – €778M = €1,218M (FY25)
Net Financial Debt / EBITDA	(Gross Debt – Cash) ÷ EBITDA = (€1,281M – €1,650M) ÷ ~€2,090M = Net Cash (FY25). EBITDA ≈ EBIT + D&A = €1,684M + €406M = €2,090M

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Key Assumptions

All financial figures are sourced from Rheinmetall AG's FY 2025 Annual Report, prepared in accordance with IFRS Accounting Standards adopted by the EU, published March 9, 2026. All figures are denominated in millions of euros (€ million) unless otherwise stated.

Continuing operations data excludes the Power Systems civilian business, classified as discontinued operations under IFRS 5 as of December 17, 2025. The comparison period (FY 2024) has been restated accordingly.

'Operating Result' is Rheinmetall's primary management KPI: defined as EBIT before PPA effects and special items. EBIT before PPA effects was €1,850M in FY25 and €1,395M in FY24. Reported EBIT from continuing operations was €1,684M (FY25) and €1,270M (FY24), reflecting the deduction of €167M and €125M of PPA amortisation respectively.

Gross financial debt of €1,281M is calculated as non-current financial debts (€1,155M) plus current financial debts (€126M). Net financial position is gross debt less cash and cash equivalents (€1,650M), resulting in a net cash position of approximately €369M.

Valuation multiples (P/E, P/FCF, EV/EBITDA) are estimated based on an indicative market capitalisation of approximately €30–35 billion as of April 2026 and should not be relied upon as investment advice. Sector comparison benchmarks are based on European defence prime peers including BAE Systems, Thales, Leonardo, and Safran.

The Rheinmetall Backlog is a proprietary management metric comprising Order Backlog (firm orders not yet converted to revenue) plus Frame Backlog (multi-year framework agreements from which call-off orders will be placed). It is not directly comparable to IFRS Remaining Performance Obligations (RPO) as it includes framework agreements that have not been legally committed at contract level.